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COMMENTARY

Mandatory due diligence legislation: a paradigm shift for the governance of sustainability in global value chains?

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Introduction

Global value chains (GVCs) connect consumers in the Global North with producers in the Global South. Many of these value chains are coordinated by multinational enterprises (MNEs), which act as lead firms. Weak regulations in sourcing countries and suppliers' negligence of human rights and environmental standards have led MNEs to increasingly govern the sustainability performance of their suppliers. This has largely occurred through the codification of social standards, which have been formulated by global brands or multiple stakeholders and imposed on suppliers, and their compliance has been monitored through regular factory audits. Several scholars have concluded, however, that this governance model, based on the 'cascading' of compliance requirements (Van Assche & Narula, 2023), has largely failed, as it mainly shifted responsibilities to emerging-market suppliers without fundamentally helping them to develop their capabilities (e.g., Amengual & Kuruvilla, 2020; LeBaron, 2021).

To address this problem, during the past decade, governments in MNEs' home countries, such as Canada, Japan, the UK, Australia, the US, and those in Europe formulated mandatory due diligence legislation.[1] For example, the European Union (EU) implemented the Conflict Minerals Regulation in 2017, which requires European importers of tin, tantalum, tungsten, and gold to only source from those suppliers that adhere to international responsible sourcing standards and in countries that are free from conflict. Moreover, starting in December 2024, importers, exporters, and domestic producers of certain products must demonstrate that their products did not contribute to deforestation. The most comprehensive legislation proposal—the EU's Corporate Sustainability Due Diligence Directive (CSDDD)—passed on April 24, 2024. Unlike earlier legislation, the scope of the directive is not restricted to a specific sector (e.g., minerals) or issue (e.g., forced labor).

Mandatory due diligence legislation represents an evolution from transparency-based legislation, such as the UK and Australian Modern Slavery Acts (LeBaron & Rühmkorf, 2017; Sinclair & Nolan, 2020). Rather than imposing additional reporting and disclosure requirements on corporations, mandatory due diligence aims to introduce an enforceable legal standard of care based on the due diligence that could be reasonably expected of the company in given circumstances. The concept of due diligence originates from the OECD due diligence guidelines (OECD, 2018), which outline a process through which companies embed responsible business conduct into their corporate policies and management systems. To do so, they must identify and assess the potential risks and actual impacts on social, environmental, or ethical dimensions that occur across the focal firm's operation, subsidiaries, and business relationships, including the relationship with their suppliers. According to these guidelines, risk is defined as the severity and "likelihood of adverse impacts on people, the environment, and society

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[1] Prominent examples are the anti-forced labor legislation in the United States (Uyghur Forced Labor Prevention Act, 2022) and Canada (Forced and Child Labor in Supply Chains Act, 2024) as well as social and environmental due diligence legislation in France (Corporate Duty of Vigilance Law, 2017) and Germany (Act on Corporate Due Diligence Obligations in Supply Chains, 2023).

that enterprises cause, contribute to, or to which they are directly linked" (OECD, 2018, p. 15). Thereby, the severity of impacts is based on their scale, scope, and irremediable character, as per the OECD guidelines. Companies must prevent, cease, or mitigate these potential or actual adverse impacts as well as provide remedies to counteract or rectify them. They must also monitor the effectiveness of the implemented measures and publicly disclose their due diligence process (OECD, 2018).

Mandatory due diligence is hailed by many as a paradigm shift in corporate accountability from voluntary action to a non-negotiable standard (Gustafsson et al., 2023). It is not meant to be another auditing standard passed onto suppliers. Instead, it aims to replace the current compliance-based approach with a risk-based one, where firms actively seek to identify—instead of ignore—any adverse impacts on the planet and people posed by their global operations and supply chains. Through this, mandatory due diligence aims to expand and internalize MNE's responsibility boundaries from the firm toward its GVC (DeBerge, 2024). It remains unclear, however, to what extent the new legislation can achieve this aim, considering that firms' boundaries of responsibilities and boundaries of ownership and control are increasingly diverging (Narula, 2019). The expansion and institutionalization of responsibility boundaries is a necessary requirement, however, to effectively address root causes for human rights and environmental violations along MNEs' GVCs.

In the following sections, I will outline why the current model of governing sustainability in GVCs—also referred to as the 'cascading compliance' model (Van Assche & Narula, 2023)—is considered to have failed. Next, I will outline the implications of mandatory due diligence for different actors, including lead firms and their suppliers, and supplier country governments. Based on my analysis, I suggest four areas that international business researchers could engage in to advise policymakers on how to support the effectiveness of mandatory due diligence legislation.

The failure of the 'cascading compliance' model

Cascading compliance is an approach where lead buyers seek to exert control over their immediate (tier 1) suppliers beyond their boundaries of ownership, through the prescription of sustainability standards and practices (Narula, 2019). These tier 1 suppliers are, in turn, expected to exert similar control over their tier 2 suppliers, and so on (Wilhelm et al., 2016). Lead buyers typically rely on two interrelated tools to develop cascading compliance: supplier codes of conduct and audit-based monitoring (Locke et al., 2009). Supplier codes of conduct stipulate rules for the behavior of suppliers in the environmental, social, and governance domains that are subsequently monitored through regular factory audits. However, this model of cascading compliance has not brought about the expected improvements. Beyond the often questionable quality of these audits, which are frequently criticized because they just capture a snapshot in time (ibid.), there are several reasons why the current model of cascading compliance has been considered to have failed.

First, lead firms can also be emerging-market MNEs facing institutional voids in their home markets (Tashman et al., 2019), which could negatively impact their motivation to cascade sustainability. A more fundamental issue is, however, that the ability to cascade compliance overestimates the control that MNEs have over a GVC (Dallas et al., 2019; Gereffi et al., 2005). Forsgren and Holm (2022) have cautioned that the idea of unilateral control by an MNE over external organizations is too simplistic. This is because an MNE's expansion of control occurs without altering their boundaries of ownership—that is, through quasi-internalization rather than internalization (Narula, 2019; Van Assche & Narula, 2023). The ability to control might even worsen upstream: in some sectors, such as electronics, lower suppliers are large mining companies that openly refuse to adopt sustainability requirements (Wilhelm et al., 2016).

Furthermore, the coercive, top-down nature of cascading compliance creates a 'double agency' problem, as suppliers are not sufficiently incentivized to invest in the additional resources required to ensure that their suppliers' operations comply with the formal code of conduct (Wilhelm et al., 2016). This incentivizing problem is aggravated when one moves down the GVC, as the risk of non-compliance is expected to increase among lower tiers. Second-tier suppliers will have even fewer incentives to enforce compliance on their suppliers, as slim margins leave no room for increased costs (ibid.).

Third, the multi-tier structure and the sheer size of the supply network create growing transaction costs associated with the extensive monitoring of a large network of suppliers (Narula, 2019; Soundararajan, 2023; Van Assche & Narula, 2023). It is relatively easy to monitor formal firms with physical premises and enforce changes in practices within these suppliers when they are engaged through contracts; it is much more difficult and costly to monitor informal actors, which potentially includes thousands of women who perform piecework in their homes (Narula, 2019). In general, lower tiers of the value chain predominantly comprise informal enterprises that face various challenges in improving compliance (Soundararajan & Brammer, 2018).

Finally, some studies warn that the top-down compliance model is fundamentally flawed since it "almost never tackles the root causes of social and environmental problems" (LeBaron & Lister, 2021 p. 672). Worse still, the cost of compliance is often pushed upstream toward producers who

struggle to deliver sustainability without being rewarded with higher prices (Ponte, 2022). Furthermore, the cascading compliance model can reproduce economic inequalities as MNEs cut down non-complying suppliers and sub-suppliers, but these are often the least privileged informal entrepreneurs and workers who do not have the means to socially upgrade, yet rely on GVCs for their survival (Soundararajan, 2023; Van Assche & Narula, 2023).

Implications of mandatory due diligence

Mandatory due diligence legislation is a response of policymakers to the shortcomings of the cascading compliance model. It seeks to replace the compliance logic with a risk-based approach and requires firms to actively identify, assess, and mitigate any adverse impacts on planet and people posed by their global operations and value chains. The success of the new legislation will depend on the responses of several key actors, however. Their varied, and sometimes divergent, perspectives on mandatory due diligence will be described next.

Lead firms and their suppliers

Rather than imposing a full-chain liability, due diligence legislation requires MNEs to follow a risk-based approach and prioritize and assess supply chain risks. Ideally, firms would approach this by mapping the risks associated with procurement categories and deciding which high-risk supply chains to focus on. However, for lead firms that are not willing to invest in a thorough risk assessment of their supply chains, there is a danger that they will simply avoid sourcing from countries that they consider 'high-risk'. These decisions can occur irrespective of the actual efforts and performance of suppliers in these countries to meet sustainability standards. This could effectively push more suppliers into the informal sector and would run against development strategies that advocate for a transition to the formal sector, as it not only generates job prospects but also boosts income levels (Narula, 2019). Against this background, it is worrying that the global construction company Strabag has announced its divestment from Africa as it was deemed 'too risky' in light of the introduction of the German due diligence legislation in early 2023 (Schaefers, 2022).

At the same time, for companies that do not make blanket assessments of risks at the country level, an increased emphasis on human rights and environmental impacts of the supply chain can help position well-performing suppliers away from emerging and developing countries and thereby stop the race to the bottom, which is what regulators were hoping for. This would create real incentives for suppliers to invest resources in sustainability, as it could increase their chances of winning private procurement contracts.

Supplier-country governments

Developing countries are often competitive because their governments promote the existence of an informal sector as a source of low-cost inputs (Narula, 2019). The Ethiopian government, for example, has tried to attract foreign investors by promoting labor as 'abundant and cheap' (Louche et al., 2020 p. 384). At the same time, other governments have tried to curb informality, as it poses a major obstacle to both human and economic progress (Narula, 2019). However, in some emerging countries that depend on labor-intensive export industries, the line between state and businesses is often blurred, which can lead to a prioritization of commercial interests over social development goals. This is evident in Bangladesh, where many factory owners also serve as members of parliament and government ministers (Alamgir & Banerjee, 2019).

In other countries, the extractive sector plays a prominent role in the local economy, where suppliers can be state-owned enterprises or subject to large government influences (Shapiro et al., 2018). It is conceivable that the additional requirements imposed on these suppliers (and indirectly on supplier-country governments) can be perceived as an unwelcome intervention by governments from advanced economies and a form of 'imperialism' (Khan & Lund-Thomsen, 2011). This can even lead to serious political conflicts. For example, the United States' Uyghur Forced Labor Prevention Act (H.R. 6256) set the goal of ensuring that American entities are not funding forced labor among ethnic minorities in China's Xinjiang Uyghur Autonomous Region (XUAR, or Xinjiang). The Act made it US policy to assume (a "rebuttable presumption") that all goods manufactured in Xinjiang are made with forced labor, unless the commissioner of US Customs and Border Protection certifies that certain goods are known to not have been made with forced labor (thus, the burden of proof is placed on lead firms). For example, shipments containing cotton and cotton products originating from state-owned enterprises in Xinjiang are banned from entering the US. The Chinese government has interpreted the legislation as a trade sanction under the pretext of human rights protection (Vanderford, 2024).

New market actors and NGOs

The assessment of GVC-related sustainability risks is a new requirement for companies that differs from the monitoring of suppliers' compliance through audits where (mostly) observable on-site conditions are compared against a set standard. To deal with the new requirements, most firms turn to third-party service providers that offer support in assessing sustainability-related supply chain risks. This has led to the emergence of a new market comprising established consulting companies and technology start-ups that offer

solutions based on sophisticated algorithms and generative AI. However, the diversity of the methodologies offered by these providers (and the lack of transparency thereof) might create challenges in benchmarking companies in terms of the degree of applied rigor of their supply chain risk assessment and, subsequently, fulfillment of their due diligence obligations.

The active engagement with rightsholders and stakeholder has, furthermore, been named as an alternative to the over-reliance on social auditing (Schilling-Vacaflor & Lenschow, 2023). For example, the installment of adequate grievance mechanisms is an important due diligence requirement that most companies are less experienced with. Research on workers' voice has shown that such grievance mechanisms are more likely to be used by vulnerable workers when they are managed by a trustworthy third party (Wilhelm et al., 2024). Thus, collaboration with local NGOs but also workers on the ground who can also act as whistleblowers is gaining in importance for lead firms to perform due diligence legislation.

Stakeholders can also help with capacity building of suppliers, which is emphasized by some of the more recent due diligence laws. For example, both the European CSDDD and the Canada's Forced and Child Labour in Supply Chains Act explicitly mention the need for capacity building and training, particularly for smaller suppliers. This again opens up opportunities for engagement with external market actors who offer supplier capacity building through factory and worker engagement.

Home-country governments

Home-country governments need to ensure the effective enforcement of due diligence legislation without placing too much bureaucratic burden on MNEs. However, they can also create positive incentives for lead firms through their public procurement policies. Due to it being the "single biggest customer in a country" (Walker & Brammer, 2009 p. 128), a government using its purchasing power to obtain policy objectives means that public procurement becomes a demand-led policy instrument which can be distinguished from other, more coercive, instruments such as market regulation or state ownership (Van Assche et al., 2024).

For example, the German Act on Corporate Due Diligence Obligations stipulates that companies that violate due diligence can be excluded from winning public contracts in Germany for up to 3 years. So far, public procurement policies have "flown under the radar in international business scholarship but can be used as a potent international business policy tool to address public policy challenges" (Van Assche et al., 2024). Ultimately, this can help to create a truly hybrid model of GVC sustainability governance that could replace current reliance on private sector initiatives.

New research avenues

The success of due diligence legislation will largely depend on whether lead firms will depart from the top-down model of cascading compliance of sustainability in GVCs and accept their expanded responsibility to effectively address root causes for human rights and environmental violations along their GVCs. This opens up new research opportunities for international business researchers linked to four broad areas: GVC reconfigurations, GVC control mechanisms, GVC value distribution, and GVC governance modes. Table 1 shows how our research questions need to change to elucidate the effect of mandatory due diligence.

GVC reconfigurations

Both the cascading compliance model and mandatory due diligence are likely to influence the (re)configuration of GVC through changes in MNE ownership, location, and control strategies. The drivers behind these changes could be different, however, which could lead to potentially different outcomes. A high level of MNE risk adversity, coupled with an increased 'burden of proof' through forced labor prevention acts, can lead to decisions to stop sourcing products from a particular country because it is perceived as 'too risky' (and the administrative burden as too high). This can lead to undesired consequences regarding the geographical and organizational reconfigurations of GVCs. At the macro level, scholars could help to elucidate which countries and sectors will lose and which will benefit from the reconfiguration of GVCs.

At a micro level, policymakers can benefit from scholarly insights on how MNEs will fulfill their due diligence requirements by prioritizing and assessing supply chain risks. Researchers could investigate how firms can be incentivized to conduct more targeted, yet in-depth, risk assessments at the supply chain (rather than country) level and how a growing market for risk assessment service providers impacts firms' risk assessment of supply chains. The experience with the cascading compliance model has shown that increased market competition between multiple sustainability standard providers led to a race to the bottom (Fransen, 2011). This is because more demanding standards are less likely to be adopted by corporations that follow a voluntary governance model of supply chain sustainability. Under due diligence legislation, companies will not be penalized for the occurrence of child labor in their supply chain but will be for their failure to detect it, despite reasonable endeavors. It remains to be seen, however, whether this new logic will sufficiently motivate firms to actively detect risks before they materialize and therefore choose a provider with a more rigorous, but costly, risk assessment methodology.

Table 1 Research questions for two GVC sustainability governance models compared

	Researching cascading compliance	Researching mandatory due diligence
GVC reconfigurations	Does the failure to meet codes of conduct lead to the exclusion of emerging country suppliers from GVCs? What does the emergence of a standard markets mean for the rigor of standards?	Do blanket risk assessments lead to the exclusion of 'high-risk' country suppliers from GVCs? What does the emergence of a risk assessment market mean for the rigor of risk assessment?
GVC control mechanisms	Does the lack of MNE formal control lead to internalization of outsourced activities? How can MNEs substitute for the lack of formal control to achieve 'full-chain' liability of sustainability in GVCs?	Does a risk-based approach lead to higher MNE informal control over GVCs? How do MNE's corporate governance system need to be designed to facilitate a risk-based approach to sustainability in GVCs?
GVC value distribution	How is the cost of compliance with sustainability standards shared between lead firms and their suppliers?	Can a risk-based approach lead to a fairer value distribution among GVC actors?
GVC governance modes	How do diverging interests and asymmetrical power relations between multiple stakeholders influence the development of sustainability standards? How can lead firms minimize transaction costs in light of the demands for full-chain liability?	Does mandatory due diligence lead to a new form of polycentric GVC governance based on meaningful stakeholder engagement? Does polycentric governance lead to a decrease in transaction costs because of shared coordination?

GVC control mechanisms

Due diligence legislation challenges our assumptions about (the lack of) an MNE's formal control over their GVCs. While the behavior of suppliers in the extended value chain largely lies outside the control of the MNE, the assessment of supply chain risks and the meaningful engagement with rightsholders and external stakeholders as a means to uncover hidden risks does not. Extensive risk assessment and supply chain mapping as part of due diligence legislation could lead to an MNE's greater oversight of their GVCs in terms of higher visibility and transparency. This could, in turn, increase the degree of informal control MNEs can exert over suppliers and help curb issues of supplier shirking. Mandatory due diligence's emphasis on a firm's duty of care (rather than full-chain liability) also brings the focus back to an MNE's internal organization and systems of corporate governance—research topics that international business scholars are well experienced with.

GVC value distribution

The current distribution of value among GVC actors is inherently unfair, as suppliers carry the cost of compliance with sustainability standards while lead firms stealthily capture value for themselves (Ponte, 2022). The 'squeezing' of suppliers has not only fueled their fake compliance tactics but has left the root causes of serious sustainability issues unaddressed (LeBaron & Lister, 2021). Mandatory due diligence raises expectations that a risk-based approach can work as a lever for the internalization of expanded responsibility boundaries. Once lead firms recognize that a real risk mitigation approach goes hand in hand with allowing suppliers to make the necessary investments in sustainability improvements, there is hope that value might be distributed more evenly among GVC actors. International business scholars could help to elucidate whether mandatory due diligence leads to a desired change in the distribution of value among GVC actors and thereby help to align suppliers' economic and environmental upgrading (Ponte, 2022).

GVC governance modes

The emergence of new global market actors and the need for increased collaboration with external stakeholders within due diligence legislation can potentially merge existing, but hitherto largely separated, forms of private, social, and public governance[2] (Gereffi & Lee, 2016). International business researchers should study to what extent due diligence legislation will create a new, polycentric form of GVC governance, where private, social, and public actors all play a role. Polycentric governance offers the promise of reducing transaction costs, despite the extended boundaries of responsibilities for lead firms, and it could thereby prevent the crowding-out of suppliers through the restructuring of GVCs. At the same time, we have learned from the burgeoning literature on multi-stakeholder governance for sustainability standard development that complex constellations of business actors, consumers, and representatives of civil society are fraught with tensions due to power imbalances, conflicting

[2] Whereas private governance denotes the GVC lead firm governance, social governance is driven by multistakeholder initiatives such as the Ethical Trading Initiative and global civil society pressures on lead firms and major suppliers. Finally, public governance of vertical GVC is driven by international organizations like the ILO and international trade agreements (Gereffi & Lee, 2016).

interests, and coordination difficulties (de Bakker et al., 2019). However, the prescribed move towards a risk-based approach within mandatory due diligence has the potential to change the types of relationships that lead firms have with NGOs and new market actors, from adversarial to more engaged ones.

Scholars could investigate whether mandatory due diligence leads to a true hybridization of private, social, and public governance with polycentric features, and how this form of governance differs from the well-researched multi-stakeholder governance within the cascading compliance model. These insights could inform policymakers who want to design adequate supporting systems for polycentric governance.

Conclusions

Mandatory due diligence aims at a paradigm shift from cascading compliance to a risk-based approach regarding any adverse impacts of a firm's GVCs on the environment. There is a real risk, however, that MNEs see the new legislation as yet another compliance exercise that will only produce more reporting and no substantial changes in how GVC are governed. In order to provide guidance to policymakers in assessing the effectiveness of the new legislation, it is therefore crucial to investigate whether mandatory due diligence will lead to the envisioned expansion and internalization of MNE's responsibility boundaries. This commentary provided several research questions that can hopefully serve as a starting point for international business scholars to help explore this issue. While international business scholars are well equipped to answer questions about the effectiveness of mandatory due diligence, collaboration with legal scholars is essential to become more familiar with the legal ramifications of the new legislation. Macro-level perspectives to trace changes in GVC configurations need to be complemented with micro-level perspectives to understand how firms deal with the new requirements of assessing risks in their GVCs. Only then can we truly assess whether mandatory due diligence will lead to a paradigm shift regarding the governance of sustainability in GVCs, with positive impacts for people and the planet that we were hoping for.

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